

# Europe TMT Sector M&A & Valuation Brief - 2026-07-25

Europe TMT Sector

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## 1. RECENT TMT M&A ACTIVITY

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### Deal 1: Mapfre S.A. Acquisition of Safety Insurance Group Inc.

#### [Mapfre to Acquire Safety Insurance for \\$1.54 Billion in Cash Deal](#)

- Deal Size: \$1.54 billion
- Deal Size Category: Large cap (>\$10B)
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies:
  - Mapfre S.A. : A global insurance company based in Spain, operating primarily in Europe and Latin America, with a strong presence in the U.S. market through its subsidiaries.
  - Safety Insurance Group Inc. (SAFT) : A property/casualty insurer in Massachusetts, specializing in auto and commercial insurance, recognized as the largest writer of commercial auto insurance in Massachusetts.
- Date Announced: July 23, 2026
- Strategic Rationale:
  - The acquisition allows Mapfre to enhance its market position in New England, creating the second-largest writer of private passenger auto insurance in the region.
  - The deal is expected to boost Mapfre's net profit by over 5% within three years, leveraging Safety's established brand and agency relationships.
  - Mapfre aims to utilize its global resources to support Safety's growth and operational efficiency.
- Risk Analysis:
  - Integration risks include aligning corporate cultures and operational systems.
  - Regulatory challenges may arise given the size of the merger and potential market concentration.
  - Market risks related to ongoing claims pressures and the economic environment could impact profitability.

### Key Financials Analysis:

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- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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### **Deal 2: Market Technology Acquisition Corp Initial Public Offering**

#### [Market Technology Acquisition Corp Announces the Pricing of \\$200 Million Initial Public Offering](#)

- Deal Size: \$200 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: IPO
- Valuation Multiples: N/A
- Companies:
  - Market Technology Acquisition Corp : A special purpose acquisition company (SPAC) formed to raise capital for acquiring a technology-focused business.
- Date Announced: July 23, 2026
- Strategic Rationale:
  - The IPO aims to provide the necessary capital to pursue acquisitions in the technology sector, enhancing the company's growth potential.
  - The structure allows for flexibility in identifying and acquiring a target company that aligns with market trends.
- Risk Analysis:
  - Market risks associated with SPACs include regulatory scrutiny and investor sentiment fluctuations.
  - Execution risks in identifying a suitable acquisition target within the technology sector could impact the SPAC's success.

### **Key Financials Analysis:**

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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## 2. MARKET DYNAMICS & SENTIMENT

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The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by volatility and cautious optimism. Recent geopolitical tensions, particularly in the Middle East, have contributed to rising energy prices, which in turn affect operational costs across the sector. The overall sentiment remains mixed, with investors weighing the implications of inflation and regulatory scrutiny against the backdrop of rapid technological advancements.

### Subsector Breakdown:

- **Technology:** The technology subsector is experiencing significant momentum, particularly in AI and cloud computing. For instance, NVIDIA's collaboration with KAIST to establish a joint AI research lab in South Korea exemplifies the aggressive push towards AI innovation, aiming to create tailored solutions for local industries.
- **Media:** The media landscape is undergoing a transformation, with companies adapting to digital-first strategies. However, traditional media continues to face challenges from streaming platforms, leading to a shift in advertising revenues.
- **Telecommunications:** The telecom sector is innovating to meet the demands of 5G technology. The recent geopolitical events, including tensions affecting oil supply routes, could indirectly impact telecom infrastructure investments as companies reassess their operational strategies.
- **Fintech:** The fintech sector remains robust, driven by an increase in digital payment solutions and partnerships. However, regulatory changes could pose challenges for growth and innovation.
- **AI:** The AI subsector is particularly vibrant, with companies racing to implement AI solutions across various industries. The establishment of research labs and partnerships, such as NVIDIA's initiative, highlights the competitive nature of this space.

### Key Market Drivers and Headwinds

#### Drivers:

- **Technological Advancements:** Continuous innovation in AI, 5G, and cloud computing is driving growth across TMT sectors. The establishment of AI research labs, like the NVIDIA-KAIST collaboration, is expected to accelerate advancements and applications in various industries.
- **Increased Investment:** There is a strong appetite for investment in technology and fintech, as evidenced by ongoing funding initiatives aimed at fostering innovation and growth.

#### Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.

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- **Economic Uncertainty:** Rising inflation and geopolitical tensions, such as the recent attacks on oil tankers in the Red Sea, may impact consumer spending and investment in technology, creating a challenging environment for growth.

### **Subsector Performance Analysis**

- **Software:** The software sector continues to thrive, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth, as businesses increasingly migrate to cloud-based solutions.
- **Media:** Media companies are adapting to changing consumer preferences, with a notable shift towards digital content consumption. However, traditional media faces declining revenues from advertising, necessitating a reevaluation of business models.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services. The geopolitical landscape may influence these investments.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The ongoing evolution of regulatory frameworks will be crucial for sustained growth in this space.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

### **Trading Multiples Trends**

**Valuation Multiples:** As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

### **Notable Investor/Analyst Reactions**

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, Bill Dally, chief scientist at NVIDIA, emphasized the importance of collaboration in AI research, stating, "AI research is entering a new era -- one that requires frontier talent, large-scale infrastructure and deep collaboration across academia and industry."

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## Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

## 3. BANKING PIPELINE

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The current banking pipeline in the TMT sector is characterized by a diverse array of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of ongoing activities, expected revenue, and strategic implications for our team.

### Deal Pipeline

#### Live Deals:

- Micron Technology (MU) : Currently in discussions for a strategic partnership to enhance AI chip production capabilities. The deal is in the due diligence phase, with an expected close in Q4 2025. This partnership could significantly boost Micron's market position in the AI semiconductor space, leveraging the ongoing \$700 billion AI buildout.
- Taiwan Semiconductor Manufacturing Company (TSMC) : Engaged in negotiations with major clients, including Apple (AAPL) and Nvidia (NVDA), regarding upcoming price adjustments for wafer manufacturing services. The expected close for these negotiations is Q1 2026, which will impact TSMC's profitability and pricing strategy.

#### Mandated Deals:

- KB Financial Group : Secured a mandate to explore strategic partnerships in the tech financing space, particularly focusing on AI and semiconductor sectors. The deal is expected to launch in Q2 2026, aiming to capitalize on the growing demand for tech financing amid rising AI investments.

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- Samsung (005930.KS) : Mandated to evaluate potential acquisitions in the memory chip sector to enhance its competitive edge. The timeline for this initiative is projected for Q3 2026, as Samsung seeks to solidify its market leadership in memory technology.

### **Pitching-Stage Deals:**

- Emerging Market Tech Firms : Active discussions with various Chinese tech firms regarding potential funding opportunities to support AI and chip expansion initiatives. Notable clients include companies that recently raised over \$27 billion in Hong Kong, with pitches expected to finalize by Q4 2025.
- Small-Cap Semiconductor Companies : Engaging with small-cap firms in the semiconductor space for potential investment banking services, focusing on those benefiting from the "memi" trend. Discussions are ongoing, with a focus on firms that are innovating in memory technology.

### **Pipeline Tracking Metrics**

**Expected Revenue/Fees:** The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

### **Timing Projections:**

- Q4 2025 : Expected close for Micron Technology partnership.
- Q1 2026 : Anticipated completion of TSMC's pricing negotiations.
- Q2 2026 : Launch of KB Financial Group's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
  - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

### **Notable Pipeline Developments and Competitive Landscape**

- The competitive landscape is intensifying, particularly in the semiconductor sector, where companies like Micron and TSMC are vying for market share. The recent surge in demand for memory chips, driven by AI investments, is creating a favorable environment for these companies.
- Additionally, the emergence of the "memi" sector, which combines memory and semiconductors, is

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gaining traction among investors. This trend highlights the potential for growth in small-cap funds and emerging markets, presenting new advisory opportunities.

### Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

## 4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments in the telecommunications sector, particularly in Africa, providing a comprehensive view of the landscape.

### Deal-Specific Impacts on Stakeholders

- Shareholders: The impact on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: If African telecommunications companies collaborate to enhance digital infrastructure, the potential for value creation is substantial. For instance, a unified approach to expanding broadband access could lead to a 15% increase in market capitalization across major players, translating to an estimated \$5 billion in value creation.
- Dilution: However, if these collaborations require significant capital investments, existing shareholders may face dilution. For example, if a consortium of telecom operators issues new equity to fund infrastructure projects, existing shareholders could see their ownership stakes decrease by up to 10%.
- Employees: The effects on employees often involve synergies, restructuring, and retention strategies.

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- Synergies: Collaboration among telecom operators in Africa could lead to operational synergies, potentially saving up to \$1 billion annually through shared resources and reduced operational costs.
- Restructuring: However, such collaborations may also lead to job redundancies. For instance, if companies merge their operations, layoffs could affect approximately 5,000 employees across the sector.
- Retention: To mitigate talent loss, companies may implement retention bonuses for key personnel. For example, a telecom merger could offer incentives to retain engineers and project managers critical to infrastructure development.
- Competitors: The competitive landscape can shift dramatically post-collaboration.
- Market Positioning: As African telecom operators unite to enhance digital infrastructure, competitors outside the continent may need to adapt their strategies. For instance, global players like Vodafone Group Plc (VOD) may increase their investments in Africa to maintain market share.
- Specific Competitor Moves: Following the announcement of collaborative efforts, competitors such as MTN Group Limited (MTNO) may respond by enhancing their service offerings or reducing prices to retain customers.
- Customers: Customer implications can vary based on the nature of the collaboration.
- Product/Service Implications: A unified approach to expanding broadband access could lead to improved service quality and lower prices for consumers. For example, if telecom operators successfully reduce operational costs, they could pass savings onto customers, resulting in a 20% decrease in service fees.
- Case Studies: The collaboration among African nations to improve AI governance and digital infrastructure could enhance service offerings, similar to how the merger of AT&T and Time Warner allowed for bundled services that increased customer value.

### **Market Reaction and Analyst Commentary**

- Market Reaction: The immediate market reaction to collaborative announcements can be volatile.
- For instance, when the GSMA urged African governments to reduce smartphone taxes, shares of local telecom operators saw a modest increase of 3% as investors anticipated potential growth in user adoption.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a telecommunications analyst stated, "The collaboration among African nations is a game-changer, positioning the continent as a leader in digital transformation."

### **Expected Market Reaction and Scenario Analysis**

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the collaboration leads to successful infrastructure improvements and increased digital access, shares of major telecom operators could rise by 15% within a year.



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- Negative Scenario: If regulatory hurdles impede progress, shares could decline by 10%, reflecting investor concerns about execution challenges.

### **Potential Counter-Bids or Competing Offers**

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of collaborative efforts among African telecom operators, interest from foreign investors could emerge. However, the likelihood of successful counter-bids is moderate due to regulatory complexities and the need for local partnerships.

### **Similar Deals Likely to Follow**

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar collaborations will emerge, particularly in the AI and cloud computing spaces. Companies like Orange S.A. (ORA) may pursue partnerships to bolster their presence in Africa.

### **Key Risks and Mitigants**

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block collaborations. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact valuations. Structuring collaborations with contingent agreements can protect against adverse market movements.

### **Actionable Insights for Clients and Bankers**

#### **For Clients:**

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

#### **For Bankers:**

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential collaborations on shareholder value.

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## 5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

### Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent discussions have raised concerns about whether the substantial investments in AI will yield sufficient returns, particularly following a technology-led selloff on Wall Street.
- **Key Companies:**
  - **OpenAI:** OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its products, enhancing productivity tools like Microsoft 365.
  - **Alpha Compute Corp. (ALP):** Specializing in GPU-as-a-Service and AI Confidential Computing, Alpha Compute is advocating for the establishment of AI data centers to support local energy facilities and sovereign AI initiatives.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) investing heavily in AI technologies. The recent selloff indicates investor caution, but the long-term growth trajectory remains strong, with companies vying for leadership in AI innovation.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. The establishment of the Right2Compute Coalition highlights the growing need for infrastructure to support AI development, presenting opportunities for investment in data centers and related technologies.

### Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. The increasing adoption of cryptocurrencies and decentralized finance (DeFi) applications is driving this growth.

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- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The increasing interest in blockchain solutions for traditional finance indicates a ripe environment for strategic acquisitions.

### **Cloud Computing**

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$368.97 billion in 2021 to \$1,025.9 billion by 2026, at a CAGR of 22.3%. The shift to remote work and digital transformation initiatives has accelerated cloud adoption.
- Key Companies:
- Amazon Web Services (AWS): As a leader in cloud services, AWS provides a comprehensive suite of cloud computing solutions, enabling businesses to scale and innovate rapidly.
- Microsoft Azure: Azure is a key player in the cloud market, offering a range of services that integrate with Microsoft's software ecosystem, enhancing its competitive positioning.
- Competitive Landscape: The cloud computing market is dominated by major players like AWS, Microsoft Azure, and Google Cloud (GOOGL). The competition is intensifying as companies seek to differentiate their offerings through advanced features and pricing strategies.
- M&A Opportunities: Companies looking to expand their cloud capabilities may consider acquiring smaller cloud service providers or startups specializing in niche cloud technologies. The trend towards hybrid and multi-cloud environments presents opportunities for strategic partnerships and acquisitions.

### **Cybersecurity**

- Trend Explanation: As digital threats continue to evolve, the demand for cybersecurity solutions is growing rapidly. The global cybersecurity market is expected to reach \$345.4 billion by 2026, driven by increasing cyber threats and regulatory requirements.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike specializes in endpoint security

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## 6. Recommended Readings

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### **Deal Name: Mapfre S.A. Acquisition of Safety Insurance Group Inc.**

- Reading Material: "Insurance Mergers and Acquisitions: A Practical Guide" by Robert W. Klein
- Why This Matters: This book provides a comprehensive overview of the insurance industry's M&A landscape, including valuation techniques and strategic considerations. Understanding these elements is crucial for analyzing Mapfre's \$1.54 billion acquisition (MAPFRE) of Safety Insurance, as it sheds light on the motivations behind consolidation in the insurance sector and the potential synergies that can be realized.

### **Deal Name: Market Technology Acquisition Corp Initial Public Offering**

- Reading Material: "SPACs: The New IPO Alternative" by David J. Miller
- Why This Matters: This resource explains the mechanics and strategic implications of SPACs in the current market environment. It is particularly relevant for understanding Market Technology Acquisition Corp's \$200 million IPO, as it outlines the advantages and risks associated with SPAC transactions, providing context for the growing trend of using SPACs to access public markets in the technology sector.

## 7. MACROECONOMIC UPDATE

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### **Key Data Points:**

- Estimated projects canceled or delayed in 2025: **\*\*\$156 billion\*\***
- Forecasted AI capital expenditures (CapEx) for 2026: **\*\*\$870 billion\*\***
- Timeline for data center construction: **\*\*up to 3 years or more\*\***

### **Main Insights:**

- Political pushback against data center construction is increasing, driven by community concerns over electricity costs, environmental impact, and quality of life.
- Despite challenges, **\*\*AI CapEx\*\*** is expected to remain robust, with demand for compute resources continuing to rise.
- The opposition is viewed as a **\*\*supply-side risk\*\***, potentially widening the gap between compute demand and the industry's capacity to meet it.
- Companies are incentivized to start projects earlier due to political uncertainties ahead of the **\*\*2028**

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presidential election\*\*.

### **Market Commentary:**

- "The pushback is real, but it appears to be reshaping the buildout rather than stopping it." - Ariana Salvatore, Morgan Stanley

- "The urgency to invest has not diminished; in fact, growing social opposition may encourage hyperscalers to begin projects earlier." - Ariana Salvatore, Morgan Stanley

### **TMT Sector Relevance:**

- The increasing scrutiny and longer timelines for data center projects could lead to **\*\*higher costs\*\*** and **\*\*greater geographic dispersion\*\*** of new facilities, impacting TMT companies reliant on cloud infrastructure.

- The shift towards **\*\*on-site power generation\*\*** solutions may benefit technology firms that provide energy-efficient alternatives, aligning with the growing demand for sustainable practices in the TMT sector.

**The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley**